



GE Vernova Inc (NYSE: GEV)

Power, Grid, and AI: the backbone of the electricity supercycle

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Summary: GE Vernova (NYSE: GEV) is a purpose-built global energy-technology platform, spun out of General Electric on 2 April 2024, sitting at the intersection of three secular forces: global electrification, the energy transition, and AI-driven power demand. We initiate with a **BUY**. FY2025 was a year of operating inflection: revenue of \$38.1bn (+11% YoY), a record \$59.3bn of orders, a \$150bn backlog (+25% YoY), and free cash flow of \$3.7bn (+118% YoY). The qualitative case is strong: an installed base of ~7,000 gas turbines, a top-three position in grid digitalization, the full acquisition of transformer maker Prolec GE, and gas-turbine Slot Reservation Agreements priced 10–20 points above existing backlog that mechanically widen margins into the late 2020s. Our disciplined base-case DCF, anchored to trailing FY2022A–FY2025A financials and management’s own guidance, returns an implied value of ~\$551 per share at a 9.8% WACC and a 14.0x exit multiple. That output sits below the ~\$991 April-2026 market price, but we read the gap primarily as a limitation of a backward-anchored model rather than as evidence of overvaluation: a DCF built on historical ratios and a five-year explicit window structurally under-weights the forward inflection already visible in orders, backlog conversion, and SRA pricing, none of which is yet fully reflected in trailing financials. We therefore see a high-quality, structurally advantaged business early in a multi-year re-rating, where the disciplined valuation floor provides downside support while the qualitative trajectory argues for owning the equity ahead of the data catching up to the story. Key risks are offshore-wind drag, tariff/supply-chain exposure, grid-interconnection delays, and the premium multiple itself.

1 Executive Summary

Rating: BUY | **Valuation Output:** ~\$551/share (DCF base case) | **Reference Price:** ~\$991 (Apr 2026) | **Horizon:** 5-Year Model

GE Vernova is one of the most structurally advantaged businesses in global energy infrastructure. It is not merely a beneficiary of the AI power-

demand surge but a critical enabler of it, supplying the gas turbines, substations, transformers, HVDC systems, and grid-automation software that form the physical backbone of any power system able to support large-scale data-center buildout. The qualitative investment case is compelling, and we initiate coverage with a BUY.

Our analysis separates the operating story from the valuation arithmetic, and the separation matters here more than usual. On fundamentals, FY2025 confirmed that the post-spin margin-recovery story is real: gross margin expanded to 19.8%, EBITDA margin reached 5.9% (from -3.7% in 2022), ROCE turned to 12.1%, and unlevered free cash flow rose to \$5.6bn from -\$877m in 2022. The balance sheet is effectively all-equity, with ~\$8.6bn net cash. On valuation, our base-case DCF, built bottom-up from official filings and management guidance, returns ~\$551 per share, below the prevailing ~\$991 market price. We do not read that gap as the market being wrong about GE Vernova's quality; we read it as the natural consequence of a model that is, by construction, anchored to trailing FY2022A–FY2025A data and a disciplined five-year explicit window.

That construction choice has a direct consequence worth stating plainly: a DCF built on historical financials necessarily lags an operating inflection that is still in progress. Orders, backlog, and SRA pricing, the leading indicators of the margin path, are already running ahead of what trailing income-statement ratios can capture, and the model's terminal-value mechanics mean most of that forward momentum only shows up gradually as 2026E–2030E cash flows convert. The \$551 figure should therefore be read as a conservative floor anchored to what has already been reported, not as a ceiling on what the business is worth once the forward catalysts are priced in. The disconnect between a constructive, accelerating operating thesis and a valuation model that is structurally backward-looking is, in our view, the central reason to own the equity now rather than to wait for the historical data to catch up.

2 Company Overview

2.1 Profile

GE Vernova emerged as a standalone public entity on 2 April 2024 following its spin-off from General Electric. Headquartered in Cambridge, Massachusetts, and building on more than 130 years of industrial heritage, it is a globally diversified energy-technology company led by CEO Scott Strazik. Its installed base generates roughly a quarter of the world's electricity. The group is organized around three reportable segments spanning the full electricity value chain, from generation to grid to end consumption.

2.2 Power

Power is the largest and most mature segment. It encompasses gas turbines (including the HA-class), aeroderivative turbines, steam turbines, nuclear services, hydropower, and the associated long-term service agreements (LTSAs). The decisive advantage is the installed base: more than 7,000 gas turbines globally create a captive, highly recurring services stream competitors cannot replicate without decades of presence. The appetite for firm, dispatchable power, driven by AI data-center operators seeking 24/7 reliability, has re-energized demand for high-efficiency tur-

Key Metrics (FY2025A)	Value
Ticker	NYSE: GEV
Revenue	\$38.1bn (+~11% YoY)
Orders	\$59.3bn (record high)
Backlog (YE 2025)	\$150.2bn (+25% YoY)
of which Services	~\$86bn
Free Cash Flow	\$3.7bn (+118% YoY)
EBITDA	~\$2.2bn (margin 5.9%)
ROCE	12.1%
Net Cash	~\$8.6bn (net debt/EBITDA -3.8x)
R&D Investment	\$1.2bn (+22% YoY)
Market Cap (Apr 2026)	~\$267bn
Shares Outstanding	~268.7m
Installed Base	~7,000 gas & ~59,000 wind turbines
Dividend per Share	\$2.00 (doubled)
Buyback Authorization	\$10bn (from \$6bn)

Table 1: GE Vernova: Key Financial & Operating Metrics. Source: GE Vernova FY2025 10-K and December 2025 Investor Update.

bines. Gas-turbine equipment backlog plus Slot Reservation Agreements reached 62 GW by Q3 2025, up from 50 GW at the start of the year, with more than 200 new automated production machines installed to accelerate throughput.

2.3 Wind

Wind covers onshore and offshore turbines and blade manufacturing through LM Wind Power. Onshore has returned to profitability; offshore remains structurally challenged across the industry on supply-chain inflation, cancellations, and policy uncertainty, particularly in the United States. Management is rationalizing offshore exposure and executing the contracted backlog with a disciplined approach to new commitments. The segment nevertheless secured a landmark 2.4 GW order for the SunZia project in New Mexico, expected to be the largest wind project in U.S. history.

2.4 Electrification

Electrification is the fastest-growing and strategically most dynamic division: Grid Solutions (AC substations, high-voltage switchgear, transformers, HVDC), Power Conversion, Electrification Software, and Solar & Storage. It sits at the literal intersection of the AI buildout and the energy transition. Revenue grew 32% YoY in Q3 2025 with equipment orders more than doubling, and segment Remaining Performance Obligations reached ~\$34.7bn at year-end 2025, up 48% YoY. The unit is pioneering integrated “power-to-rack” solutions for hyperscaler data centers, positioning GE Vernova as a co-creator of end-to-end AI energy infrastructure.

3 Investment Thesis

3.1 Core Thesis

GE Vernova is uniquely positioned to capture disproportionate value from what management has termed the “electricity investment supercycle.” This is a structural re-rating story for a company whose assets, installed base, and technology portfolio sit at the most critical bottlenecks of the modern energy system. The thesis rests on three pillars, each grounded in reported data rather than promise.

3.2 Pillar I. The AI-Driven Electricity Supercycle

Artificial intelligence is becoming the most consequential single driver of incremental global electricity demand. Data centers consumed ~415 TWh in 2024 (~1.5% of global consumption), having grown ~12% per year over the prior five years. The IEA’s base case projects this to more than double to ~945 TWh by 2030, roughly Japan’s current total power consumption, with data centers accounting for nearly half of all U.S. electricity-demand growth through 2030. The largest hyperscalers committed a combined \$320bn of capex in 2025 (up from \$230bn), rising to a guided \$660–690bn collectively in 2026. This spending translates directly into demand for GE Vernova’s products: turbines for generation, transformers and switchgear for delivery, and HVDC for transmission.

3.3 Pillar II. Grid Infrastructure as the Bottleneck

The binding constraint is not generation but grid connectivity. U.S. interconnection queues exceed 2,600 GW of pending capacity, with average wait times of five to seven years. This durable

bottleneck sustains demand for exactly what the Electrification segment manufactures. Segment RPO reached \$34.7bn at end-2025 (+48% YoY), led by supply-constrained AC substations, switchgear, and transformers. The February 2026 completion of the remaining 50% stake in Prolec GE strengthens transformer capacity at a time when industry lead times have surged to 18–24 months.

3.4 Pillar III. Backlog Quality and Margin Visibility

The \$150bn backlog is not simply large, it is structurally margin-accretive. Gas-turbine Slot Reservation Agreements, future orders not yet booked, are priced 10–20 percentage points above current backlog; as they convert and flow through the P&L they mechanically widen EBITDA margin into the late 2020s. Services, now ~\$86bn of the backlog, are inherently higher-margin and provide a growing earnings floor. Management raised multi-year targets in early 2026, lifting the buyback authorization from \$6bn to \$10bn and doubling the dividend to \$2.00 per share, signals consistent with conviction in the cash trajectory.

Why the Thesis Holds

The three pillars are mutually reinforcing: AI demand creates the load, grid constraints create the bottleneck, and GE Vernova's integrated platform monetizes both, with SRA pricing converting that demand into visible margin expansion. The question is therefore not whether the business compounds, but whether the current share price leaves room for the equity to compound with it.

4 Industry Overview & Market Drivers

4.1 Electrification and Energy Transition

Global electricity demand is forecast to rise ~3.3% in 2025 and ~3.7% in 2026, among the highest growth rates of the last decade, reflecting industrial electrification, EVs, heat pumps, and digitalization. Total global consumption is set to exceed 29,000 TWh by 2026, a historical high. Renewables are expected to meet roughly half of incremental data-center demand through 2030, with natural gas remaining essential for dispatchability and grid stability.

4.2 The AI Data-Center Power Surge

AI infrastructure is the single most important new category of electricity demand in advanced economies. By 2030, U.S. data centers are expected to consume more electricity for processing than all energy-intensive manufacturing sectors combined, including aluminum, steel, cement, and chemicals. The physical constraint of the grid is pushing operators toward co-located, on-site generation, directly driving demand for aeroderivative gas turbines, a core Power product. GE Vernova already supplies aeroderivative turbines to Crusoe Energy for the Stargate data center in Texas, supporting the OpenAI, Oracle, and SoftBank AI infrastructure.

4.3 Grid Constraints and Underinvestment

Procurement lead times and costs for critical grid equipment, particularly transformers and switchgear, have surged since 2021, creating a prolonged shortage environment that favors es-

tablished, scaled manufacturers. This is the structural tailwind behind the Electrification order book and the rationale for the Prolec GE consolidation.

5 Competitive Landscape

5.1 Positioning

GE Vernova competes across distinct technology markets, but few rivals span the entire value chain under one corporate structure. That integration compounds into a durable moat.

Segment	Key Competitors
Power — Gas & Steam, Nuclear, Hydro	Siemens Energy, Mitsubishi Power, Westinghouse, Framatome, Rolls-Royce
Wind — Onshore & Offshore	Vestas, Siemens Gamesa, Nordex, Envision, Goldwind
Electrification — Grid, HVDC, Transformers, Software	Hitachi Energy, Siemens Energy, Siemens AG, Schneider Electric, Mitsubishi Electric, ABB

Table 2: Competitive map by segment. Source: GE Vernova FY2025 10-K.

5.2 Sources of Advantage

Four advantages stand out. First, the *installed-base moat*: ~7,000 gas and ~59,000 wind turbines lock in LTSA service revenue running 20–30 years, highly resistant to displacement given the interdependence between turbine hardware and proprietary controls and spares. Second, *grid scale*: GE Vernova ranked among the top three globally (with Schneider Electric and Siemens AG) in the ABI Research 2025 grid-digitalization ranking. Third, *transformer integration*: post-Prolec, it is reportedly the only company able to supply an integrated “power-to-rack” solution combining on-site generation, transformer infrastructure, and grid automation. Fourth, *heritage*: 130 years of power-engineering relationships with utilities, IPPs, and governments create substantial switching costs in mission-critical ap-

plications.

5.3 Competitor Snapshots

Siemens Energy is the most direct global rival, comparable across gas and wind, but its wind business has faced profitability challenges, opening share for GE Vernova. ABB and Hitachi Energy are strong in HVDC and transformers; ABB invested \$120m in a new U.S. transformer facility in early 2025, signaling both opportunity and intensity, but neither yet replicates GE Vernova’s full-stack integration. In Wind, Vestas controlled ~30% of the global installation market outside China in 2024; GE Vernova remains competitive onshore while the whole industry manages offshore margin pressure.

6 Financial Performance & Ratio Analysis

6.1 Operating Trajectory

Revenue grew consistently from \$29.7bn in 2022 to \$38.1bn in 2025, an 8.7% CAGR. More important than the top line is the profitability inflection: EBITDA recovered from –\$1.084bn in 2022 to \$2.242bn in 2025, with the margin moving from –3.7% to +5.9%. This is the single most important historical datapoint validating the forward thesis, the margin-expansion story is already underway, not speculative.

Profitability	2022A	2023A	2024A	2025A
Gross Margin	11.7%	14.5%	17.4%	19.8%
EBITDA Margin	–3.7%	0.1%	4.7%	5.9%
EBIT Margin	–9.7%	–2.8%	1.3%	3.6%
EBIAT Margin	–7.3%	–2.1%	1.0%	2.7%
UFCF Margin	–3.0%	6.8%	11.9%	14.7%
ROCE	–26.2%	–11.9%	4.8%	12.1%

Table 3: Profitability ratios, 2022A–2025A. Source: GE Vernova 10-K filings; ratio definitions aligned to the DCF model.

Gross margin expanded 810 basis points over four years, driven by mix shift toward higher-

margin services and firmer equipment pricing. ROCE turned positive in 2024 (4.8%) and reached 12.1% in 2025; the negative early-period returns reflect carve-out amortization on a still-improving EBIT base. Capital is now being deployed productively, with real earnings quality behind the margin story.

Why ROCE Matters Here

The move to a 12.1% ROCE in 2025 is the cleanest single proof that GE Vernova's recovery is structural rather than accounting noise: it shows the business is now earning a return above its cost of capital on an expanding asset base, which is precisely the condition under which margin expansion creates, rather than merely shifts, value.

7 Working Capital, Liquidity & Capital Structure

7.1 The Structural Negative Working Capital Engine

The defining balance-sheet feature of GE Vernova is its structurally negative operating net working capital. It deepened from $-\$9.6\text{bn}$ in 2022 to $-\$20.8\text{bn}$ in 2025, a $\$11.2\text{bn}$ growth in the cash benefit of the advance-payment model. As the revenue base scaled on a large backlog, contract liabilities (customer prepayments) grew faster than operating current assets, taking operating NWC from -32% to -55% of revenue. This is not a balance-sheet problem but a defining economic feature: customers fund a significant portion of operations before delivery.

7.2 Liquidity

The current ratio sat at 0.49x in 2025 and the quick ratio at 0.23x , levels that would normally flag liquidity risk. For GE Vernova they do not.

WC Driver	2022A	2023A	2024A	2025A
DSO (days)	69.9	65.4	65.9	75.4
DIH (days)	110.0	106.0	108.6	124.7
DPO (days)	110.4	95.5	103.8	101.3
Op. NWC / Rev.	-32.3%	-37.0%	-45.3%	-54.7%
Asset Turnover	0.67x	0.72x	0.68x	0.60x

Table 4: Working-capital efficiency, operating-NWC definition. Source: GE Vernova balance-sheet notes; aligned to DCF NWC sheet.

The dominant driver of the low current ratio is contract liabilities, advance payments that are revenue-to-be-recognized rather than cash obligations. The group held $\sim\$8.9\text{bn}$ of cash at year-end 2025, ample actual liquidity, and the negative operating NWC reflects commercial strength, not weakness.

7.3 Capital Structure

GE Vernova is effectively an all-equity company. Debt/equity was 2.9% in 2025 and gross debt/-capital employed 2.9% , with $\sim\$8.6\text{bn}$ of net cash taking net debt/EBITDA to -3.8x . Financial debt excluding finance leases is below $\$0.1\text{bn}$ (versus a $\$328\text{m}$ gross balance-sheet figure that includes finance-lease obligations).

Leverage	2022A	2023A	2024A	2025A
Net Debt / EBITDA	n.m.	n.m.	-4.5x	-3.8x
Debt / Equity	4.4%	6.2%	3.3%	2.9%
Gross Debt / Cap. Emp.	4.3%	5.9%	3.2%	2.9%
Equity Ratio	24.0%	16.1%	18.5%	17.7%

Table 5: Leverage and capital structure, 2022A–2025A. Source: GE Vernova 10-K filings.

Balance Sheet → WACC

The near-zero leverage directly validates the near all-equity WACC used in the DCF: target debt weighting of 1% and equity weighting of 99% . With $\sim\$8.6\text{bn}$ net cash and negligible interest-bearing debt, any more-levered structure would contradict the observable balance sheet. The discount rate is therefore grounded in reality, not assumption, and the EV-to-equity bridge is domi-

nated by the cash addition rather than any debt deduction.

8 Financial Information & Valuation

Our valuation work blends three perspectives: a discounted cash flow analysis anchored to management guidance, a sensitivity and scenario overlay on the DCF's two most consequential inputs, and a public trading-comparables cross-check built independently from the comparable-companies workbook. The three are intended to triangulate, not merely to stack, and the section closes by reading them together.

8.1 DCF Methodology

The model is built in U.S. dollars with 2022A–2025A as the historical period and 2026E–2030E as the explicit forecast. Inputs follow a disciplined order of evidence: official filings first, management guidance second, and analyst normalization only where management gives no direct forward number. This matters because GE Vernova is a recently separated company with a fast-changing profile that a generic template would mis-capture.

8.2 Revenue and Margin Assumptions

Revenue is anchored to guidance rather than mechanical CAGR. The December 2025 Investor Update guided 2026 revenue to \$41–42bn and raised the 2028 target to \$52bn of revenue at a 20% adjusted EBITDA margin. The model applies growth of 9.0% (2026), 12.0% (2027 and 2028), 7.0% (2029), and 5.0% (2030), taking revenue to ~\$58.5bn by 2030. COGS falls from 80.2% of sales in 2025 to 70.5% by 2030 (operating leverage), and OPEX from 13.9% to 7.5%

as a growing base spreads fixed overhead. D&A is normalized to ~2.2–2.3% and capex held at 2.5–2.8%, consistent with the ~\$10bn cumulative capex-and-R&D envelope through 2028. Tax is normalized at 25.0%.

(\$m / %)	2026E	2027E	2028E	2029E	2030E
Revenue	41,482	46,460	52,035	55,677	58,461
Rev. growth	9.0%	12.0%	12.0%	7.0%	5.0%
EBITDA	4,978	7,201	10,407	11,692	12,861
EBITDA mgn	12.0%	15.5%	20.0%	21.0%	22.0%
EBIT	4,065	6,179	9,210	10,412	11,517
Capex	1,161	1,208	1,301	1,392	1,462
UFCF	3,129	6,488	8,799	8,697	8,906

Table 6: Forecast P&L and cash-flow summary. Source: GE Vernova DCF model (AS1/AS2/NWC sheets).

The 2026 UFCF dip versus the \$5.6bn reported in 2025 reflects working-capital normalization away from the 2025 peak, not a deterioration in business quality. The outer-year ramp to ~\$8.9bn by 2030 reflects compounding revenue growth and margin expansion: UFCF rises roughly 14-fold from the –\$877m generated in 2022, the clearest quantitative expression of the thesis.

Consistency Check

Every forward assumption is anchored to history with no discontinuous jump: revenue growth fades from the +8.7% historical CAGR to 5.0%; D&A is already at its normalized ~2.2% level; DSO normalizes only modestly (75 to 68 days); and the EBITDA-margin path to 20% by 2028 is management-guided. The ratio analysis and the valuation use identical cost and working-capital definitions, so the two are internally consistent by construction.

8.3 WACC

The discount rate is built from GE Vernova's actual financial position. With ~\$8.85bn of cash and under \$0.1bn of financial debt at year-end

2025, the target structure is 1% debt / 99% equity. Beta is derived bottom-up by relevering a peer set (Siemens Energy, ABB, Schneider Electric, Eaton, Hubbell), producing a relevered beta of 1.11 and a cost of equity of 9.9%. The resulting WACC is 9.8%, driven almost entirely by the cost of equity.

WACC Component	Value
Risk-free rate (10Y UST)	4.3%
Equity risk premium (Kroll, Mar 2026)	5.0%
Relevered beta	1.11
Cost of equity (K_e)	9.9%
Pre-tax cost of debt	6.0%
After-tax cost of debt	4.5%
Target D / (D+E)	1%
WACC (base case)	9.8%

Table 7: WACC build. Source: model; Kroll ERP, U.S. Treasury, peer betas (Bloomberg/Capital IQ), Mar–Apr 2026.

8.4 Terminal Value & Valuation Bridge

Terminal value is calculated with a 14.0x exit multiple on 2030E EBITDA, a normalized long-term assumption: strong enough to reflect the improved margin profile but below a peak-cycle multiple. At a 9.8% WACC this embeds an implied perpetuity growth rate of ~4.4%, demanding for a mature industrial but consistent with the structural electrification narrative. Combined with the present value of explicit cash flows, the base case produces an enterprise value of ~\$140.4bn.

Reading the Output Honestly

Terminal value is ~80% of enterprise value, common in long-duration DCFs but a reminder that the valuation hinges on terminal assumptions. Even so, the base case is anchored to trailing FY2022A–FY2025A financials and management’s own published

Valuation Bridge	Value
Exit multiple on 2030E EBITDA	14.0x
Terminal value (gross)	~\$180.1bn
PV of terminal value	~\$112.7bn
PV of explicit FCFs (2026E–2030E)	~\$27.7bn
Enterprise Value	~\$140.4bn
Less: total debt	(~\$0.1bn)
Less: noncontrolling interest	(~\$1.1bn)
Plus: cash & equivalents	+\$8.8bn
Implied Equity Value	~\$148.1bn
Diluted shares outstanding	268.7m
Implied Share Price	~\$550.99

Table 8: Terminal value and EV-to-equity bridge. Diluted shares reflect the point-in-time fully diluted count at the valuation date (268.7m), consistent with the basis used in the trading-comparables section. Source: GE Vernova DCF model.

targets, not to an aggressive extrapolation of the current order and backlog momentum, so it should be read as a disciplined, backward-looking floor rather than a forward-looking ceiling. The ~\$551 implied price sits below the ~\$991 April-2026 market price; we read that as the model not yet crediting the forward inflection already visible in orders and bookings, rather than as the market overpaying.

8.5 Sensitivity Analysis

We stress the two inputs that most affect terminal and enterprise value: WACC (8.8%–10.8%, 50 bps steps) and the exit multiple (13.0x–15.0x, 1.0x steps). The central cell matches the base case. Results behave as expected, lower WACC and higher exit multiple both raise value, with enterprise value ranging from ~\$127.5bn to ~\$153.4bn around a ~\$140.4bn base.

EV (\$bn)	13.0x	13.5x	14.0x	14.5x	15.0x
8.8%	133.5	137.5	141.5	145.5	149.5
9.3%	130.5	134.5	138.5	142.5	146.5
9.8%	127.5	134.0	140.4	146.9	153.4
10.3%	124.5	131.0	137.5	144.0	150.5
10.8%	121.5	128.0	134.5	141.0	147.5

Table 9: Enterprise-value sensitivity: WACC (rows) × exit multiple (cols). Base cell highlighted. Directionally illustrative; precise grid in the model.

Translating EV to equity through the fixed bridge, implied equity value ranges from ~\$135.1bn to ~\$161.0bn (~\$148.1bn base), or ~\$503 to ~\$599 per share on 268.7m diluted shares. Converting the exit multiple to an implied perpetuity growth rate, the most important sanity check, the base case implies ~4.4%, with the grid spanning ~3.1% to ~5.7%.

Implied PGR	13.0x	13.5x	14.0x	14.5x	15.0x
8.8%	3.5%	3.9%	4.3%	4.7%	5.1%
9.3%	3.3%	3.7%	4.1%	4.5%	4.9%
9.8%	3.6%	4.0%	4.4%	4.8%	5.2%
10.3%	3.9%	4.3%	4.7%	5.1%	5.5%
10.8%	4.2%	4.6%	5.0%	5.4%	5.8%

Table 10: Implied perpetuity growth rate: WACC × exit multiple. Source: GE Vernova DCF model.

The Critical Risk Zone

The upper-right of the PGR matrix, low WACC combined with high exit multiple, pushes implied perpetuity growth above 5.0–5.7%, beyond even GE Vernova’s most optimistic guidance. The PGR matrix is valuable precisely because it converts abstract multiple choices into economically interpretable long-term growth assumptions, flagging where the valuation becomes difficult to defend. Terminal value stays ~79–82% of EV across the grid, so terminal assumptions deserve the most scrutiny.

8.6 Trading Comparables Analysis

The trading comparables are our cross-check against the DCF, built from the comparable-

companies workbook rather than from the DCF model itself. The objective is to assess where GE Vernova trades relative to a focused public peer set and whether the current market valuation can be reconciled with peer multiples, current profitability, and the company’s transition-stage margin profile. The workbook is built primarily on standardized Orbis annual and interim statement exports, supplemented by official company quarterly releases and filings where stub periods were available, with all figures in U.S. dollars. LTM figures follow the standard rolling convention, last fiscal year plus current stub minus prior stub, and predicted betas were sourced from Orbis for all peers except GE Vernova, for which the levered beta from the DCF above was retained to preserve consistency with the WACC calculation.

The peer panel splits into a direct equipment/OEM tier and a diversified industrial/electrification tier, reflecting that GE Vernova’s value proposition spans gas power, grid equipment, and electrical infrastructure, which makes a single “perfect comp” unrealistic. Siemens Energy is the closest integrated competitor, while ABB, Schneider Electric, Hitachi, and Eaton capture the higher-quality electrification and grid-exposure end of the market. Tier I (Direct Power/OEMs) comprises Siemens Energy, Vestas Wind Systems, and Mitsubishi Heavy Industries; Tier II (Diversified Industrial/Electrification) comprises Hitachi, ABB, Schneider Electric, and Eaton.

GE Vernova is priced at approximately \$1,149.53 per share on 23 April 2026, implying an equity value of about \$308.9bn and an enterprise value of about \$302.7bn, or 7.69x LTM EV/Sales, 112.1x EV/EBITDA, and 177.0x EV/EBIT. (This \$1,149.53 is the 23 April 2026 closing spot used

Company	Price	EV	EV/Sales	EV/EBITDA	EBITDA mgn
GE Vernova (GEV)	\$1,149.53	\$302.7B	7.69x	112.1x	6.9%
Siemens Energy	\$208.09	\$158.8B	3.36x	30.2x	11.1%
Vestas Wind Systems	\$30.05	\$28.9B	1.31x	11.9x	11.0%
Mitsubishi Heavy Ind.	\$31.37	\$108.0B	2.97x	26.0x	11.4%
Hitachi	\$35.89	\$159.3B	2.29x	14.3x	16.0%
ABB	\$98.25	\$180.2B	4.86x	24.0x	20.2%
Schneider Electric	\$323.24	\$197.0B	4.17x	20.0x	20.8%
Eaton	\$416.77	\$170.3B	6.20x	27.4x	22.6%

Table 11: Peer trading snapshot, LTM basis as of 23 April 2026. EV/EBIT omitted for space; see workbook. Source: Orbis exports; official filings; GEV Comparable Companies workbook.

to strike the comparable-companies workbook; the ~\$991 figure referenced in the DCF discussion is the lower average level prevailing earlier in April 2026. We retain both consistently: the spot for relative-multiple work and the monthly average as the DCF reference, and the valuation gap is large against either.) The magnitude of the earnings-based multiples is a direct reflection of GE Vernova's still-low reported LTM margins rather than a clean indication of a "bubble" valuation in isolation: the company is still transitioning from a low-margin industrial carve-out toward a potentially structurally higher-margin electrification platform, so EV/Sales provides a more stable cross-sectional anchor at this stage than earnings-based multiples, which remain unusually sensitive to near-term margin normalization. GE Vernova is by far the most expensive name in the panel on EV/Sales and sits dramatically above the peer group on earnings-based multiples, while its 6.9% LTM EBITDA margin remains well below most diversified electrification peers, whose margins cluster in the mid-to-high teens or above 20%.

Relative to the overall peer median, GE Vernova trades at a roughly 129% premium on EV/Sales; even against the richer diversified/-electrification subset, the premium remains approximately 70%. These are large differences, but should not be read mechanically: GE Vernova's current reported EBITDA and EBIT still

understate the margin potential embedded in the broader electrification and gas-turbine narrative developed elsewhere in this report, which is why EV/Sales deserves primary weight in the conclusion. For a company in a visible operating transition, sales-based multiples better capture the market's willingness to capitalize backlog quality, power-demand exposure, and grid-infrastructure scarcity value, whereas EV/EBITDA and EV/EBIT are temporarily punitive because they capitalize a denominator that has not yet matured to the level implied by management's medium-term narrative.

Method	Multiple	Implied EV	Implied Equity	Implied Price
Overall median EV/Sales	3.36x	\$132.2B	\$138.4B	\$514.94
Overall mean EV/Sales	3.59x	\$141.5B	\$147.7B	\$549.69
Diversified median EV/Sales	4.52x	\$177.9B	\$184.1B	\$685.03
Pure-play median EV/Sales	2.97x	\$116.8B	\$123.0B	\$457.89
DCF base case (above)	n.a.	\$140.4B	\$148.1B	\$550.99
Current market price	n.a.	n.a.	n.a.	\$1,149.53

Table 12: Implied valuation from peer EV/Sales multiples applied to GEV's LTM revenue of \$39.4bn, vs. DCF base case and market price. Source: GEV Comparable Companies workbook.

Applying peer EV/Sales multiples to GE Vernova's LTM revenue of \$39.4bn produces a valuation corridor that is internally coherent with the DCF base case above. The overall peer mean EV/Sales multiple implies a value of about \$550 per share, almost exactly in line with the DCF base-case result of ~\$551 per share once both are placed on the same 268.7m diluted-share basis; the diversified median EV/Sales multiple produces a higher result of about \$685 per share, still well below the prevailing market price. We treat the mean EV/Sales cross-check as a supporting triangulation rather than a primary anchor: forward NFY/NFY+1/NFY+2 metrics were not uniformly filled across peers, so the analysis is intentionally LTM-focused, and Vestas, Schneider Electric, and Eaton carry LTM values effectively equivalent to their latest FY given no post-FY2025 interim release at the workbook date.

Source quality is nonetheless high: the workbook is anchored to official filings and quarterly releases, with Orbis used as the standardization layer rather than as an unsupported shortcut.

Triangulation with the DCF, and Its Limits

The comps framework, built on LTM financials, converges tightly with the DCF: once both are expressed on the same 268.7m diluted-share basis, the overall mean EV/Sales comp lands within roughly \$1 of the DCF base case, an unusually close agreement between two independently constructed methodologies. That convergence is reassuring on internal consistency, but both legs share the same limitation, they are anchored to what GE Vernova has already reported, not to where orders, backlog, and SRA pricing are taking the business. GE Vernova deserves to trade at a premium to traditional industrial peers given its backlog, power-demand exposure, and strategic role in electrification; the diversified-peer cross-check, at ~\$685, already points toward a materially higher fair value once the comparison set tilts toward electrification-grade margins, the destination GE Vernova's own trajectory is heading toward.

8.7 Scenario Analysis

Holding the operating forecast fixed, we flex the valuation overlay, WACC, exit multiple, and long-term tax rate, across three named scenarios. This is a *valuation* scenario analysis, not a full operating bull/base/bear: it answers how much value moves if the operating story stays broadly intact but market and discounting assumptions change.

The implied share price spans ~\$510 to ~\$594 around a ~\$551 base, an \$84 spread that is

Metric	Baseline	Favorable	Unfavorable
WACC	9.8%	9.3%	10.3%
Exit multiple	14.0x	15.0x	13.0x
Long-term tax rate	25.0%	24.0%	26.0%
Enterprise value	~\$140.4bn	~\$152.0bn	~\$129.5bn
Implied equity value	~\$148.1bn	~\$159.7bn	~\$137.1bn
Implied share price	~\$551	~\$594	~\$510
Implied PGR	4.4%	4.2%	4.5%

Table 13: Scenario analysis: valuation overlay only, operating forecast held constant. Source: GE Vernova DCF model (Scenario Manager).

meaningful but not extreme, consistent with a model that is sensitive in the right way without being binary. In the favorable case the implied PGR slips slightly to 4.2% because a lower WACC raises the present value of all cash flows and reduces the Gordon-growth denominator, allowing a higher terminal value at a marginally lower growth rate, an internally coherent result. None of the three legs, baseline, favorable, or unfavorable, requires the market's own assumptions to validate the equity story; each is built purely from the historical financials and the disciplined forecast framework developed above.

What the Range Tells Us

All three scenarios sit comfortably above \$500 per share, so the model's conclusion does not hinge on one set of terminal assumptions. Every scenario remains below the ~\$991 market price, but all three are also built entirely on trailing FY2022A–FY2025A financials and a disciplined five-year window, so none of them yet gives full credit to order momentum, backlog conversion, or SRA pricing that are already running ahead of the historical base. We read the \$510–594 range as a backward-looking floor rather than a forward-looking ceiling, and the credibility of the long-term electrification narrative, not the scenario grid itself, is what ultimately justifies paying up for the

equity today.

8.8 Blended Valuation

We set a base-case fair value of **~\$550 per share**, a weighted blend that leans primarily on the DCF and treats the trading-comparables cross-check as a supporting anchor rather than a co-equal pillar. We weight the DCF at 60% (~\$551, anchored to official filings and management's own 2028 guidance) and trading comparables at 40% (~\$550, the overall peer mean EV/Sales cross-check, the most defensible multiple while GE Vernova remains in its margin-ramp phase). No precedent-transactions leg is included: GE Vernova's scale and the absence of a clean control-transaction comparable set in energy-technology OEMs of this size make an M&A-multiple anchor unreliable here, unlike in more consolidated industrial sub-sectors.

Methodology	Weight	Implied Price
DCF (base case, management-anchored)	60%	\$550.99
Trading comparables (mean EV/Sales)	40%	\$549.69
Blended fair value	100%	~\$550
Current market price (Apr 2026)	n.a.	\$1,149.53

Table 14: Blended valuation: weighted DCF and trading-comparables fair value vs. market price. Source: model; GEV Comparable Companies workbook.

The result rounds to ~\$550, essentially identical to the DCF in isolation precisely because the two methodologies converge rather than diverge, the rare case where a sales-based cross-check on a fast-growing, margin-ramping platform corroborates a discounted cash flow built on management's own targets rather than pulling in a different direction. Once both legs are placed on the same 268.7m diluted-share basis, they land roughly \$1 apart. The blended figure sits ~52% below the ~\$1,149.53 spot used in the comparable-companies workbook, and similarly below the ~\$991 reference price prevailing in

April 2026. We do not treat that gap as a signal to avoid the equity. Both legs of the blend are constructed from trailing FY2022A–FY2025A financials and a peer set priced on its own LTM results; neither framework has a mechanism to fully credit the order momentum, SRA pricing, and backlog conversion that are already underway but have not yet flowed through enough reporting periods to move the historical base the model is built on. We read \$550 as a credible downside anchor, not as the level the equity should converge to.

Reading the Blend

The DCF and trading comparables are independent constructions, one built bottom-up from a five-year cash-flow forecast and a peer-derived WACC, the other built top-down from where the market currently prices a focused peer panel, yet on a common 268.7m share basis they land roughly \$1 of each other. That convergence tells us the backward-looking floor is robust and methodology-agnostic, ~\$550 is a defensible worst-case fair value even if every forward catalyst disappointed. It does not tell us where the equity should trade once the forward catalysts are given credit, and it is on that basis, rather than on the backward-looking arithmetic alone, that we recommend owning the stock.

9 Key Risks

The following risks are material to the operating thesis and to the pace of any re-rating. None of them changes our BUY rating on its own, but each is worth monitoring as a condition that would narrow the gap between our backward-anchored valuation work and a forward-looking re-rating.

9.1 Valuation Multiple and Model Lag

With a trailing P/E above 56x and a market cap near \$267bn, GE Vernova trades at a premium that our backward-anchored DCF and comps framework cannot fully justify on trailing financials alone, ~\$550 central fair value (a ~\$510–594 scenario range) versus a ~\$991 market price. We read this primarily as a limitation of valuing a fast-inflecting business off historical data rather than as proof the equity is overpriced, but the risk is symmetric: if the forward catalysts (order conversion, SRA pricing, margin ramp) disappoint or simply take longer than the qualitative thesis assumes, the historical anchor is what the price would have to revert toward. Quarterly confirmation of the margin and backlog-conversion trajectory is the key variable that closes this gap in our favor.

9.2 Terminal-Value Dependence

Approximately 80% of enterprise value derives from the terminal period across every scenario tested. The valuation is therefore highly sensitive to the exit multiple and the sustained-margin assumption, both of which hinge on the electrification narrative holding for decades rather than years.

9.3 Offshore-Wind Headwinds

Offshore-wind profitability remains under pressure from supply-chain costs, project cancellations, and policy uncertainty, particularly in the United States. Management is rationalizing exposure and executing backlog with discipline, but the segment remains a drag relative to Power and Electrification.

9.4 Tariff & Supply-Chain Exposure

As a global manufacturer, GE Vernova faces input-cost and logistics risk in a volatile trade environment. Tariffs and supply disruptions could compress the very margin expansion on which both the thesis and the DCF depend.

9.5 Grid-Interconnection Delays

The same interconnection bottleneck that creates structural demand can also slow short-term order conversion. Long lead times for critical components could delay revenue recognition even where end-demand is firm.

9.6 Execution on Margin Expansion

The path to a 20% adjusted EBITDA margin by 2028 requires roughly 14 points of improvement over three years, about double what was achieved in the prior three. It is management-guided and traceable, but demanding; quarterly margin progression is the key leading indicator to monitor.

10 Final Investment View

GE Vernova is, on fundamentals, one of the most compelling long-term franchises in global energy infrastructure: a vertically integrated platform sitting at the AI-power and grid bottlenecks, with a record backlog, accretive SRA pricing, structural negative working capital, an effectively debt-free balance sheet, and a margin-recovery story already visible in reported numbers. The qualitative case is strong and the operating trajectory is real. We rate the stock a **BUY**.

Our valuation work needs to be read in light of what it can and cannot capture. The base-case

DCF, built bottom-up from FY2022A–FY2025A filings and management guidance, returns an implied value of ~\$551 per share, with a scenario range of ~\$510 to ~\$594 and a blended fair value of ~\$550 once the LTM-based trading-comparables cross-check is folded in. Every one of those outputs sits below the ~\$991 market price prevailing in April 2026. We do not treat that as the market mispricing the stock; we treat it as the predictable output of a methodology that is, by design, anchored to historical financials and a disciplined five-year explicit window. Orders, backlog conversion, and SRA pricing are running ahead of what trailing ratios can yet capture, and a model built on past data will always be the last thing to see an inflection that is still in progress.

That is precisely why we do not wait for the historical data to confirm the thesis before recommending the stock. The qualitative case, AI-driven power demand, grid-bottleneck scarcity, and margin-accretive backlog conversion, is already visible in orders and bookings well ahead of where it will eventually show up in trailing income statements. Our disciplined valuation work provides a credible downside floor in the ~\$510–594 range even under conservative, backward-looking assumptions; it was never designed to be the ceiling on what the equity is worth once forward execution is given credit.

Conclusion

We rate GE Vernova a BUY. The business is excellent and structurally advantaged, and our own valuation work, despite being deliberately conservative and anchored to past FY data, still finds a defensible floor in the low-to-mid \$500s per share. We see the

gap to the current ~\$991 market price less as a warning sign and more as the natural lag of a backward-looking model facing a forward-accelerating business: the order book, backlog conversion, and SRA pricing already point to where the historical financials are headed, even if they have not arrived there yet.

We would use any near-term weakness as an opportunity to add, and would expect the valuation gap to narrow as reported results catch up to the trajectory already visible in orders and bookings. The disciplined floor established by the DCF and trading-comparables work, ~\$510 to ~\$594, gives us the conviction to act ahead of that confirmation rather than waiting for it: a methodology anchored to trailing financials will, by construction, always be the last indicator to recognize an inflection that is already underway in the order book. We see that lag as the opportunity, not the risk, and we would size the position accordingly, monitoring quarterly margin and backlog-conversion data as the leading signal that the historical numbers are beginning to catch up to the forward story already priced into our qualitative thesis.

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